

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-13

**AMERICAN IRON & METAL
COMPANY INC.,
COMPLAINANT,
v.
PRIVA LOGISTICS, INC.,
RESPONDENT.**

**PRIVA LOGISTICS, INC.'S REPLY BRIEF IN
SUPPORT OF ITS CLAIMS AGAINST
AMERICAN IRON & METAL COMPANY, INC.**

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I. INTRODUCTION

Priva Logistics, Inc. (“Priva”) respectfully submits this reply brief in support of its counterclaim against American Iron & Metal Company, Inc. (“AIM”). In its opposition brief,¹ AIM admits or effectively concedes critical facts that support Priva’s claims and serve to undermine AIM’s asserted defenses. The distillation of these undisputed facts reveals the following, pertinent points that require a finding in Priva’s favor:

1. The LOI was executed by one of AIM’s employees, applied to AIM, and, as such, serves as a basis against which AIM’s conduct should be evaluated;
2. AIM failed in its duties to properly declare the cargo of the Malaysia Shipments or, at a minimum, failed to exercise the reasonable and expected level of care owed to Priva to ensure that the cargo was what AIM represented it to be;
3. After AIM was notified by Priva and CMA CGM that there were issues retrieving the containers of booking NAM6677014, AIM failed to exercise the reasonable and expected level of due diligence to investigate the matter and provide Priva with complete and accurate information related to same;
4. After CMA CGM denied the disputes lodged by Priva and AIM to the Misdeclaration Invoice, AIM continued to refuse to take accountability for its failures, continued to fail to

¹ AIM submitted a “Supplemental Appendix” when filing its Reply Brief and Opposition Brief, and the proffered “evidence” is improper, not in evidence, and not in the record before the Presiding Officer for consideration. The Supplemental Appendix contains two documents, found at CX 538-546, that were not produced in discovery. The first document at issue is an email chain from May and June 2026. Discovery in this case closed on January 30, 2026. Dkt. 14. AIM cites these emails in support of its opposition. Priva objects to these materials because they were not produced during discovery and are outside of the discovery period. Similarly, the Supplemental Appendix includes what AIM purports to be a translated version of an invoice issued by Frittelli Maritime Group S.P.A. in support of its claims. Priva objects to this document on the grounds that it was not produced in discovery and that AIM failed to confer with Priva concerning its translation or the third party who translated it.

provide information from its consignee, and refused to make payment for the amounts owed to Priva; and

5. AIM has nonetheless obtained transportation of its cargo while avoiding the charges applicable to the shipments.

These established facts result in a finding that Priva has satisfied each element of its § 41102(a) claim and is entitled to the reparations sought.

II. PRIVA HAS SATISFIED ALL THREE ELEMENTS OF ITS § 41102(a) CLAIM ON MULTIPLE LEVELS

A. Element 1: AIM's Knowing and Willful Conduct

AIM's "knowing and willful" conduct permeates throughout the underlying facts but can be temporally divided into two timeframes: (1) before and at the time of arranging the bookings to Malaysia; and (2) after the shipments arrived in Malaysia. When making the bookings, AIM misrepresented the nature of the cargo it was shipping to Malaysia. After the shipments arrived, AIM misrepresented the true status of the shipments and failed to provide information about what transpired between its consignees and Malaysian customs. AIM's conduct was knowing and willful during both timeframes.

1. AIM Knowingly Misrepresented the Nature of the Cargo

The record evidence shows that AIM knew it had a duty to accurately declare its cargo and that the cargo description provided was incorrect. The evidence further shows that AIM knowingly or willfully ignored this duty, thereby satisfying this element of Priva's § 41102(a) claim.

AIM's corporate representative testified that a shipper is obligated to provide correct cargo declarations to a carrier. CX 462 (Hudson Depo. p. 81:9 – 82:2). AIM further testified that the purpose of this duty owed by shippers was:

Twofold, to make sure that they're not shipping anything that would be dangerous or hazardous or overweight or weight distributed incorrectly, and two, to make sure

that when the documents are issued that they comply with all other documents that may be required in order to meet regulatory requirements at the export – at the port of export or the place of export and the place of destination.

CX 462 (Hudson Depo. p. 82:10-18). AIM's testimony is unequivocal evidence of its knowledge that it had a duty to properly declare the cargo.

In addition to AIM's acknowledgment of its general duty to correctly declare cargo, it was also obligated to do so by the terms of the LOI. RX 13. In its responses to Priva's proposed findings of fact ("RPFF"), AIM admits to certain facts that indicate AIM, its various divisions, and AIM USA were all operating as one company with regards to its business dealings with Priva. AIM admitted that Katherine Serrato, the person who signed the LOI, worked in AIM's Montreal headquarters, had the same email address domain name as AIM employees, and was "no longer with AIM" as stated in an August 2, 2024 email. AIM's responses to RPFF 5-7. AIM also admits that employees of other AIM divisions contractually bound AIM by arranging shipments for AIM (AIM's responses to RPFFs 15 & 19) and that AIM could not distinguish between employees of its divisions based on their email address domain names (AIM's response to RPFF 20). AIM's corporate brochure, found at RX 45-68, also reveals the interconnectedness of AIM and its related entities. Although AIM objects to this document as lacking foundation, the objection is unsupported because AIM does not provide any information indicating that the corporate brochure is not an AIM-generated document, is inaccurate, or that it was not in existence during the relevant timeframe. Rather, AIM's corporate brochure is strong evidence of AIM's loose and overlapping corporate structure and lack of formalities with its affiliated companies. The assertion that AIM, AIM USA, AIM Recycling, and AIM's other "divisions" were all separate, independently operating entities is simply not credible under the facts presented. The LOI was applicable to AIM and shows AIM's knowledge of its obligations to correctly declare cargo.

Relatedly, the evidence shows that the cargo at issue was not aluminum alloy, but was zorba, or aluminum scrap. *See* RPFFs 26-41 and AIM's responses thereto; *see also* RX 40 (November 17, 2025, email from CMA CGM confirming that the NAM6677014 containers were assessed the misdeclaration fee because the commodity was misdeclared and the NAM6677015 containers were inspected and found to be loaded with "Aluminum Flake / Scraps" and that Malaysian Customs found the shipment to "be non-compliant with the Basel Convention."). Indeed, AIM confirms that zorba is shredded aluminum *scrap* and that the cargo consisted of aluminum, brass, and copper. *See* AIM's responses to RPFF 27, 30, 37, 40, & 41. AIM argues that because there were pieces of aluminum alloy mixed into the material, the commodity was correctly declared as "aluminum alloy." AIM Opposition at 67. This theory, however, is directly at odds with the evidence presented and AIM's own statements concerning the nature of zorba. *See* AIM's responses to RPFF 26 & 29 (sales contracts for "zorba"); AIM's responses to RPFF 27 & 30 (stating that "In the metal industry, the material is referred to as shredded aluminum *scrap* and in the recycling industry it is referred to as Zorba.") (emphasis added).

AIM retained no expert to address an industry view in support of this defense theory. AIM's theory relies on its own opinion, which AIM admitted was uninformed and could not explain:

Q: ... So if the aluminum and the reds are separate and apart from one another, can the commodity as a whole be declared aluminum alloy, these two things are separate?

A. Yes.

Q. And why is that?

A. Because you're asking for my opinion and my opinion is yes.

Q. What training do you have in HS code classifications?

A. I don't have any formal training in HS codes.

Q. Does the person who determined that AIM – would it be Joy Yue Wang that makes the determination as to the proper HS code?

A. I think that in this particular case, she would have approved it, yes.

Q. Does she have any formal training on HS codes?

A. I couldn't tell you.

Q. Does anyone at AIM in the logistics – under your purview as VP of logistics, do you know of anyone who has any sort of training, formal training, in HS code selection?

A. I couldn't tell you.

CX 478 (Hudson Depo. p. 145:10 – p. 146:12).

AIM's conduct in misdeclaring the cargo is precisely the sort of behavior § 41102(a) seeks to foreclose. AIM knew it had a duty to correctly declare the cargo and that the cargo was aluminum scrap. AIM had knowledge of the facts of a violation and acted intentionally by choosing to misrepresent the nature of the cargo. Or, if the Presiding Officer has any concern that AIM's actions did not meet the intentional threshold, AIM's conduct constitutes a "reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence" because it relied solely on the wishes of its customer when declaring the cargo and failed to exercise any level of due diligence to check that the customer's request was correct. In either circumstance, the knowing and willful element is satisfied.

AIM argues that it cannot have acted knowingly and willfully because Priva has not shown proof that AIM was seeking some kind of economic benefit or to avoid an applicable charge. In support, AIM refers to the general cargo descriptions listed in the booking confirmations that were used to generate the freight rates. AIM opposition at 66; *see also* AIM opposition at 23 (AIM's response to RPFF 33 (citing CX 07; CX 10)). Importantly, the information used to generate the bookings, and the applicable rates, was provided by AIM, which requested a booking to ship "Recycled Cast Alum Alloy Raw Material 7602000020." CX 5-6. The HS code provided by AIM when requesting the booking was a "7602" code indicating the material was "Aluminum waste and scrap" under the HS codes. RX 75. The booking confirmations were in accordance with AIM's request to ship scrap metal, not alloy. Despite this request, AIM then declared the cargo as "alloy" on the bills of lading. According to AIM, "cargo described as aluminum alloy would be expected

to carry greater value than aluminum scrap.” AIM opposition at 65. But at no point in time did AIM point out the discrepancy between the booking confirmations and bills of lading to Priva. Apparently, however, AIM was acutely aware of them and still accepted the freight rate associated with scrap metal while maintaining its cargo declaration of “alloy.”

Similarly, the totality of the record evidence shows that the cargo description and HS code on the bills of lading were requested in order to evade customs issues in Malaysia. As explained in Priva’s opening brief, the evidence indicates that the NAM6677014 bill of lading was altered by AIM’s consignee, or perhaps the customer, in Malaysia to describe the cargo as “scrap” rather than “alloy” either upon the realization that the description was incorrect or as a result of their own guilty conscience. This conclusion is supported by CMA CGM’s confirmation that the NAM667704 bill of lading was altered and the cargo improperly declared. RX 40. Likewise, CMA CGM confirmed that the cargo under bill of lading NAM6677015 was determined to be “Aluminum Flakes / Scraps” upon its inspection and, further, that Malaysian Customs held the containers because the cargo was “non-compliant with the Basel Convention.” RX 40.

AIM argues that it is illogical to conclude that the consignee altered the NAM6677014 bill of lading because “*the consignee confirmed the description in the original bill of lading.*” AIM opposition at 67 (citing CX 13) (emphasis original). The referenced email is not from AIM’s consignee Neptune, however, it is from AIM’s customer Rising Streams. Compare CX 2 (Sales Contract between AIM and its customer Rising Streams with customer contact email address of “glalu21@outlook.com” and consignee Neptune contact email address of “shipping.neptunemetal@gmail.com”) and CX 35 (bill of lading with Neptune’s contact email as consignee) with CX 13 (email “confirming description in original bill of lading” from the email address associated with Rising Streams, “glalu21@outlook.com”). This distinction matters

because only the consignee listed on the bill of lading is permitted to receive the cargo at the port of destination upon the presentation of the bill of lading. Moreover, the confirmation of the cargo description by AIM's customer Rising Streams at the time of booking does not foreclose the reasonable conclusion that either Neptune or Rising Streams altered the bill of lading thereafter, especially under the facts presented. In sum, the original cargo description on both bills of lading was wrong, the NAM6677014 bill of lading was changed by AIM's consignee or customer to correct the error or evade customs, and AIM is responsible to Priva for misrepresenting the nature of the cargo and the fallout that resulted.

2. AIM Failed to Provide Information Despite its Duty to Do So

AIM's knowing and willful misconduct continued as the events unfolded over the next year by AIM's failure to provide Priva with complete and truthful information concerning the shipments. In an attempt to defend its actions, AIM cites to the email communications between the parties and asserts that "AIM is not located in Malaysia and can only convey the information it was being provided." AIM opposition at 69.

AIM's position ignores its duty to provide Priva with pertinent information from the consignee and is at odds with the record evidence, which contains no proof that AIM communicated with the consignee, Neptune, at all. There are no emails in the record between AIM and Neptune. Rather, the few emails cited by AIM were sent by its customer Rising Streams. The ability of a shipper to obtain accurate and current information from its consignee is critical, as only a consignee can present a bill of lading to receive the cargo at destination and, therefore, is the only person with firsthand knowledge of what did or did not occur when attempting to pick up the containers. Had AIM been in communication with Neptune, as was its duty, the fact that the containers had been placed on a customs hold beginning on March 31, 2024, and the facts and circumstances surrounding the hold, could have been made known to Priva. *See* AIM's admission

to RPF 106. Indeed, if AIM had communicated with Neptune, how and why the bill of lading was altered would likely be known.

AIM's failures to appropriately communicate with the consignee Neptune, and instead only communicating with its customer Rising Streams, are made apparent by the record evidence, which shows email communications only with "glalu21@outlook.com" (*i.e.*, Rising Streams), which is confirmed by AIM's own statement that "AIM was working with an overseas *customer* and attempting to obtain information." AIM opposition at 69 (emphasis added). AIM's reliance on more recent emails is misplaced. The June 2025 emails between AIM and CMA CGM provide no concrete evidence that AIM had communicated with its consignee Neptune. AIM opposition at 68 (citing CX 533-537). AIM's emails with CMA CGM in May and June 2026 also lack any probative value. *See* AIM opposition at 69 (citing CX 538-544). These emails are dated after discovery closed in this case, were not produced during discovery, were not subject to deposition scrutiny, and are, therefore, not admissible or in the record before the Presiding Officer. Even if these emails were considered, they only further show that Neptune was not responding to CMA CGM and that AIM was only communicating with its customer Rising Streams. Moreover, these emails show that the NAM6677014 containers had not yet been returned and their shipment remained incomplete as of June 1, 2026, presenting the continued risk for additional liabilities and charges against Priva. As AIM's opposition notes, and the evidence makes apparent, a clear "communication breakdown" occurred. AIM opposition at 11, 70. That breakdown, however, was and remains solely between AIM and its consignee Neptune, not Priva.

B. Element 2: AIM's Cargo Misclassification and Use of Unjust and Unfair Devices and Means

AIM argues that its false classification, alone, is insufficient to satisfy § 41102(a)'s second element and that its post-shipment conduct was not an unjust or unfair device or means. The evidence shows otherwise.

1. AIM's Cargo Misclassification Violated § 41102(a)

AIM first contends there is no evidence that the cargo was improperly declared and that, even if there was, AIM did not violate § 41102(a) because there is no proof AIM intended to deceive Priva in order to avoid the applicable charges. As detailed above, however, the record is replete with evidence showing that the cargo was aluminum scrap, not alloy. Priva incorporates the extensive discussion of the undisputed evidence on this point from section II.A.1., *supra*, and will not reiterate each point here.

AIM's second argument – that there is no evidence of deception or intent to deceive – falls equally flat when juxtaposed with the evidence and the law. There is no requirement in § 41102(a) that bad faith or deceit be shown where false classification has occurred. Rather, the statute only requires “fraud or concealment” to be present when it is alleged that respondent used “unjust or unfair” devices or means. *See Muhammad Rana v. Michelle Franklin, D.B.A. “The Right Move”*, FMC Dkt. No. 19-03 (FMC May 25, 2022) (Order Affirming Initial Decision) at 14. These distinct requirements are apparent by a plain reading of the statute, which provides: “A person may not knowingly and willfully, directly or indirectly, by means of...false classification...**OR** any other unjust or unfair device or means...” 46 U.S.C. § 41102(a) (emphasis added). Moreover, even if deception was required to show that a “false classification” was violative of the statute, the Commission has recognized that “[k]nowingly making claims that one knows or should know are false supplies the required element of fraud or concealment.” *Rana*, FMC Dkt. No. 19-03, at 14.

Here, the evidence shows that AIM knew the true nature of the cargo and misdeclared it nonetheless. And while AIM claims the purposes behind its misdeclaration could not have been in effort to deceive, the fact that the bill of lading was later changed by Rising Streams or Neptune serves to show that the misclassification was an effort to avoid customs issues in Malaysia.

2. AIM's Post-Shipment Conduct Constitutes an Unjust and Unfair Device or Means

AIM contends that “Priva has not identified any act of fraud or concealment that were used to obtain ocean transportation at lesser rates or charges.” AIM opposition at 73. AIM cites to the “extensive communications” between the parties as evidence that it was providing information to Priva concerning the status of the Malaysian Shipments. Those communications, however, are non-responsive, provide no probative information, and show that AIM had no contact with Neptune, the consignee for the NAM6677014 shipment.

AIM also asserts that Priva engages in a circular argument because AIM was unaware of the altered bill of lading, which precludes a finding AIM used unjust and unfair devices or means. This position, however, fails to appreciate AIM's duty to stay informed through reasonable efforts and diligent inquiry. *In re: Rubin, Rubin & Rubin Coup.*, 6 F.M.B. 235, 239 (FMB 1961). In other words, AIM's failure to investigate and gather information, especially after (i) the issues were made known to AIM, and (ii) CMA CGM issued the Misdeclaration Invoice, constitutes willful and negligent dereliction of its duties geared to avoid responsibility for the charges. Had AIM investigated appropriately, it would have discovered that its consignee or customer was responsible for the altered bill of lading, which would have required AIM to be accountable. As things stood, however, AIM was content with allowing Priva to bear the burden of the Misdeclaration Invoice.

C. Element 3: AIM has Obtained and Attempted to Obtain Ocean Transportation while Avoiding the Applicable Charges

AIM argues that it cannot be held liable for the Misdeclaration Invoice because the charge was not applicable or known to AIM when the booking was requested. AIM opposition at 75. AIM, therefore, posits that it could not have taken steps to avoid a charge that did not exist, and that Priva's position is circular in nature. AIM opposition at 75-76. This argument fails on multiple levels.

First, AIM was aware of its duties to properly declare cargo and that there could be repercussions for failing to do so. Both the LOI and the terms and conditions of the bills of lading provided notice to this effect. Second, when CMA CGM issued the Misdeclaration Invoice, AIM was undeniably aware that the charge applied to the shipment but still seeks to avoid paying it.

Priva's position is not circular; it flows from a linear review of the sequence of events:

- AIM misdeclared the cargo;
- that misdeclaration prompted the alteration of the bill of lading;
- the alteration triggered CMA CGM's misdeclaration determination pursuant to bill of lading's terms and issuance of the Misdeclaration Invoice;
- AIM failed to properly investigate with its consignee; and now,
- AIM enjoys the benefit of the shipments' transportation to Malaysia while Priva is left liable for the applicable charge.

Under AIM's logic, the repercussions for the Commission are substantial. No shipper could ever be held liable for applicable misdeclaration charges under § 41102(a). This is contrary to Commission precedent, which holds that § 41102(a) applies to charges that accrue after the ocean transportation, such as late fees, demurrage, and other comparable charges. *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*

v. Samsung Electronics Company, Ltd., FMC Dkt. No. 24-17 (FMC July 30, 2025) (Order Affirming Dismissal of Counterclaim) at 19. AIM's defense is not legally sound.

III. PRIVA'S DAMAGES ARE DEFINITE

AIM presents no countervailing evidence in response to the affirmative evidence of Priva's damages because it has none. Priva has met its burden to show its damages with reasonable approximation, based on the evidence and through reasonable inferences. *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, (ALJ Sept. 29, 2021) (Initial Decision on Remand) (Affirmed June 10, 2022) at 32. AIM objects to Priva's calculations with nothing more than its own speculative and unsupported assertions.

Moreover, AIM does not meaningfully contest the effectiveness and applicability of the \$70,000 owed for the Misdeclaration Invoice. AIM objects to the calculation of Priva's administrative expense damages but offers nothing to rebut the veracity of these damages that were contemporaneously and personally evaluated by Priva's owner based on her firsthand knowledge and judgment, all of which was explained in discovery. AIM's argument that Priva's administrative damages include time spent in this litigation is also undermined by the fact that Priva provided notice of those damages to AIM *prior to this litigation starting*. In sum, Priva has met its burden and AIM has failed to offer any evidence to the contrary.

IV. CONCLUSION

Priva's § 41102(a) claims against AIM should be granted. AIM misdeclared the cargo, failed in its duties to provide pertinent information, refused to accept responsibility for its actions, and has obtained transportation of its property despite its avoidance of the charges incurred.

Dated: June 30, 2026

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail on the following persons/addresses:

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